# The Diageo put: a €6.3bn debt that LVMH does not call debt

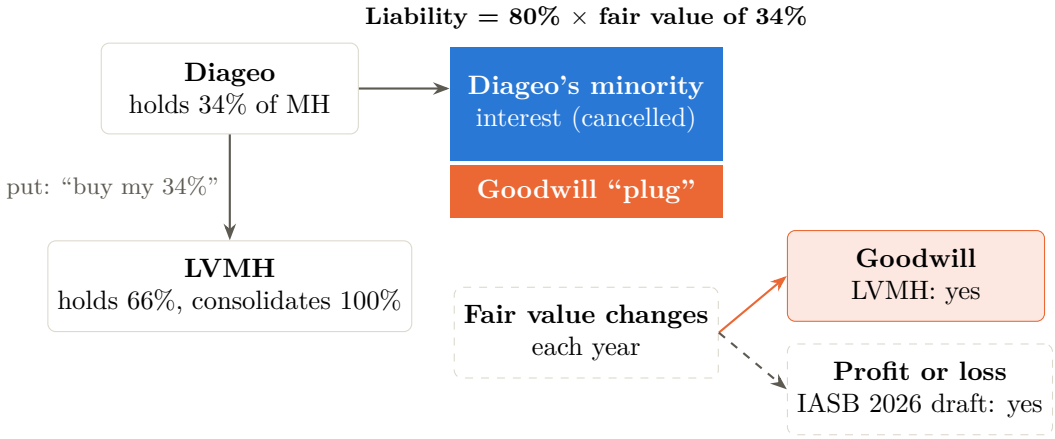
Diageo owns 34% of Moët Hennessy (MH). Diageo can force LVMH to buy this stake at any time. LVMH records this obligation as a liability. The accounting method keeps large value changes out of the income statement.

| €6.3bn | 92% | −€30bn | €0 |
|---|---|---|---|
| Put liability, 31 Dec 2025 | Of reported net debt. LVMH excludes it. | Fall in LVMH's value of MH, 2021–2025 | Of that fall in the income statement |

## 1. What is the issue?

A 1994 contract gives Diageo a put option. Diageo can sell its 34% to LVMH with six months' notice. The price is 80% of the fair value of MH on that date. IAS 32.23 says: record this as a financial liability. IFRS does not say where the other side of the entry goes.

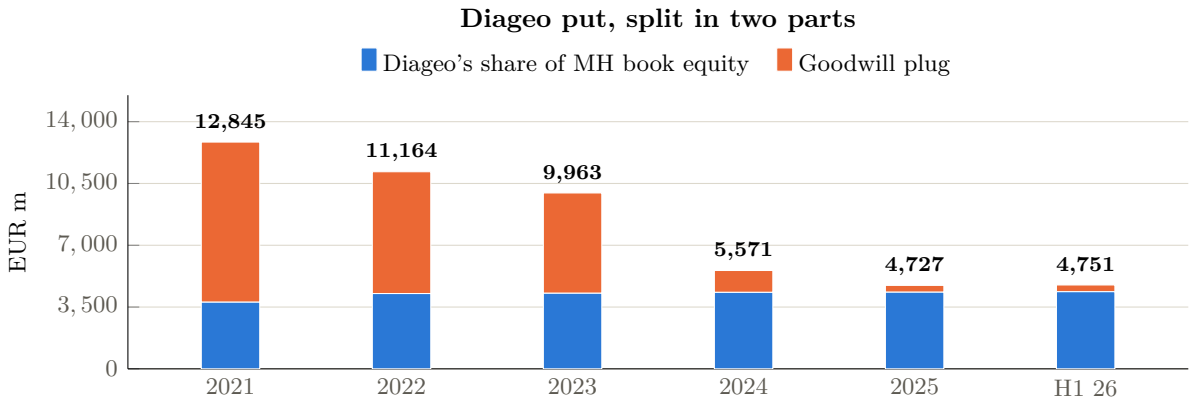
LVMH uses an old French method (note 1.13). It removes Diageo's minority interest. It puts the difference into goodwill. Each year, the change in the put value also goes to goodwill. It does not go to profit or loss.



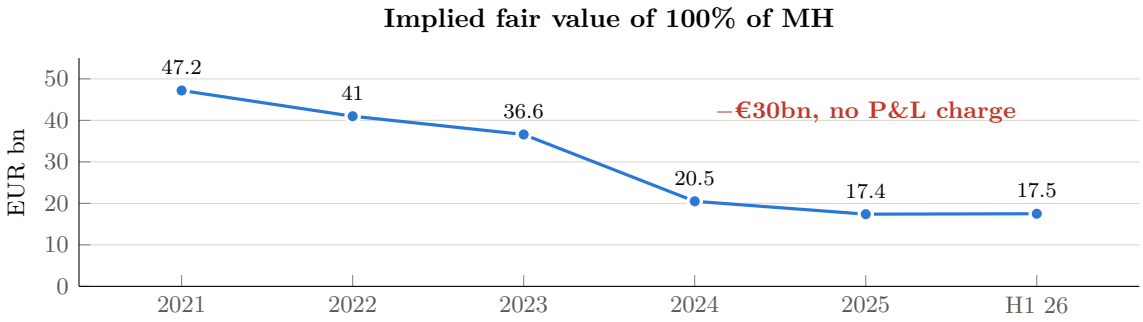

Source: LVMH FY2025 Financial Documents (FD), note 1.13 (p. 33) and note 21 (p. 56); IASB FICE tentative decision, 22 Sep 2026.

## 2. Size

The goodwill plug fell from €9.1bn to €0.4bn. The blue part is Diageo's share of MH book equity. It stays at about €4.3bn. The orange part is the goodwill plug. It shows the value above book. This part almost disappeared.




Source: LVMH FD FY2021–25, note 4 (goodwill) and note 18 (minority interests); H1-2026 half-year report, notes 4 and 18. Labels show the total.

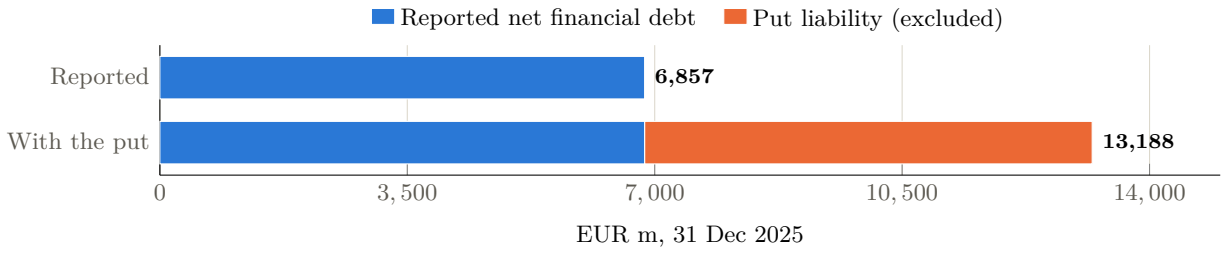



Source: Calculation: (goodwill plug + Diageo's equity share) ÷ 0.8 ÷ 0.34. Accuracy is about ±10%, because the plug also includes small non-Diageo puts.

The cause is real. Cognac demand fell in the US and China. Wines & Spirits profit from recurring operations fell from €2.1bn (2023) to €1.0bn (2025).

## 3. Materiality

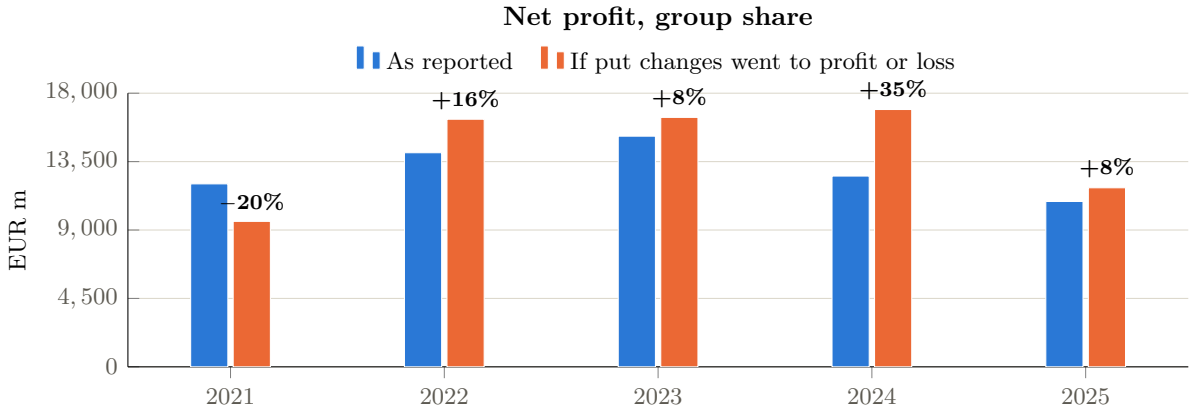
The put almost doubles net debt. LVMH does not include the put in net financial debt (note 19.1). But Diageo can demand cash in six months. A buyer must treat it as debt.




Source: LVMH FY2025 FD, balance sheet (p. 26) and note 19.1 (p. 53).

## 4. Impact on profit

In September 2026 the IASB decided (tentatively) that put remeasurement must go to profit or loss. If this rule applied before, group net profit would move by up to 35%.




Source: LVMH income statements (FY2023 FD p. 24; FY2025 FD p. 24). Adjustment = "changes in purchase commitments" in note 4, with the opposite sign. Pre-tax, illustrative.

| EUR m | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|
| As reported | 12,036 | 14,084 | 15,174 | 12,550 | 10,878 |
| Put remeasurement | −2,467 | +2,204 | +1,235 | +4,378 | +900 |
| If via P&L | 9,569 | 16,288 | 16,409 | 16,928 | 11,778 |
| Change | −20% | +16% | +8% | +35% | +8% |

## 5. Why the number is uncertain

The value is a management estimate.

- **Method change.** Until H1 2025, LVMH used market multiples. In FY2025 it changed to a DCF. LVMH gives no reason.
- **No sensitivity.** LVMH gives no sensitivity for the put or for Wines & Spirits.
- **Two parties, two values.** LVMH's basis gives about €17bn for 100% of MH. Diageo's multiples give about €13bn.
- **Price at a low point.** At the 2023 value, the same 34% was worth about €12.5bn. Now it is about €5.9bn.

## 6. What should we do?

**Do not stop the deal for this issue. Change the price.**

- Add the put (€6.3bn) to net debt in the valuation.
- Use €5–6bn as the minimum cost to own 100% of MH.
- Get the full 1994 agreement. Check the change-of-control terms.
- Value Wines & Spirits with our own model. Do not use LVMH's goodwill numbers.
- Remove the put remeasurement from covenants and earn-outs. The IASB rule can change profit by billions.